

Multiple Choice

1. **Answer:** D

Options: A) Expansion; B) Peak; C) Recovery; D) Trough

Note: The business cycle is in the trough phase when economic activity is at its lowest point, characterized by high levels of business failures and unemployment, indicating a downturn in the economy.

2. **Answer:** C

Options: A) In the late 1800 s.; B) In the early 1900 s.; C) In the 1920 s.; D) After the end of the Second World War.

Note: The production period ended in the 1920 s as businesses shifted from a focus on manufacturing and supply to understanding and meeting consumer demand, marking the beginning of the marketing era.

3. **Answer:** A

Options: A) Viral marketing.; B) Social media marketing.; C) Electronic marketing.; D) Digital marketing.

Note: Viral marketing refers to the strategy of promoting products or services through electronic word-of-mouth, leveraging endorsements that spread rapidly among consumers, akin to a spoken endorsement shared online.

4. **Answer:** C

Options: A) Basic stock list; B) Buying plan; C) Merchandise mix; D) Price-line list

Note: The term "merchandise mix" refers to the variety of product lines offered by a retailer and the quantity of each line, making it the correct answer as it specifically addresses both the breadth and depth of the products stocked.

5. **Answer:** B

Options: A) Focusing strategy; B) Differentiation; C) Cost leadership; D) Growth

Note: Advertising is a form of differentiation because it helps businesses distinguish their products or services from competitors by highlighting unique features, benefits, and brand identity to attract consumers.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: Demographics are essential for market segmentation because they provide critical insights into consumer behavior and preferences, allowing businesses to tailor their marketing strategies to specific groups based on age, gender, income, and other characteristics.

7. **Answer:** True

Options: A) True; B) False

Note: A threat is considered a factor that may destabilize and reduce the potential performance of an organization because it represents external challenges or risks that can negatively impact the organization's ability to achieve its goals and objectives.

8. **Answer:** True

Options: A) True; B) False

Note: The statement is true because a chain of command delineates the structure of authority within an organization, ensuring that communication, decision-making, and accountability flow from higher levels of management to lower levels, thereby clarifying roles and responsibilities.

9. **Answer:** True

Options: A) True; B) False

Note: A book launch is classified as an event tactic in marketing strategies because it serves as a promotional activity designed to generate interest, create buzz, and engage the target audience directly with the product.

10. **Answer:** True

Options: A) True; B) False

Note: The statement is true because Maslow's hierarchy of needs posits that individuals must first satisfy their physiological needs, such as food, water, and shelter, before they can pursue higher-level psychological and self-fulfillment needs.

Long Form Response

11. **Answer:** Direct selling is a marketing strategy where products are sold directly to consumers without a traditional retail intermediary. One of the main advantages of direct selling is the ability to create personal relationships between sales representatives and customers, which can enhance customer loyalty and satisfaction. However, challenges include the need for effective training of sales personnel and the potential for negative perceptions associated with multi-level marketing practices. Compared to traditional retail, direct selling often offers flexibility and lower overhead costs for sellers, but it can also lead to consumer skepticism about product quality and sales tactics. Overall, direct selling can significantly impact consumer behavior by fostering a more personalized shopping experience, yet it requires careful management to mitigate its inherent challenges.

Note: The answer correctly identifies direct selling as a consumer-direct marketing strategy, highlights its key advantages such as personal relationships that foster loyalty, and addresses challenges like the need for effective training and negative perceptions, thereby providing a balanced analysis relevant to the question.

12. **Answer:** In his 1988 work, James G. March identifies several key streams in decision-making within highly ambiguous environments, including the roles of limited information, bounded rationality, and the influence of organizational culture and politics.

These streams illustrate how decision-makers often rely on heuristics and past experiences rather than comprehensive analysis due to uncertainty. Expectations, however, do not fit neatly within these frameworks because they are inherently subjective and can lead to biases that distort rational decision-making. While expectations may guide initial choices, they can also create a disconnect between anticipated outcomes and actual results, complicating the decision-making process in ambiguous situations. Thus, understanding the dynamics of expectations is crucial for navigating complex environments effectively.

Note: correct because it accurately captures March's key streams of decision-making, such as limited information and bounded rationality, while also highlighting that expectations are subjective and thus do not align with the objective nature of these frameworks.

End of Answer Key